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THE JOURNEY TOWARDS FINANCIAL FREEDOM

PASSIVE DEBT INVESTING

Target Maturity Funds (TMF) provide investors predictable returns with investments in securities like Government Securities, State Development Loans (SDLs) and TBills



All types of investors seek some element of predictable returns from their investments. However, a mutual fund scheme, because of its market-linked investment structure cannot guarantee returns. To address this need of scores of savers who prefer investment options with some form of predictability, the target maturity fund category has come into play. These are index funds, with a fixed maturity date and are tax efficient compared to the traditional fixed-return type debt instruments when invested for more than 3 years due to the indexation benefit provided by debt funds.. With the advent of these schemes, investors can look forward to investments in debt funds that are less volatile on returns.

In the most basic form, target maturity funds (TMFs) are usually open-ended passive debt funds which carry a fixed date of maturity. These funds invest in securities based on the composition of the underlying index that they mimic, such as Nifty SDL or the Nifty PSU bond. Structurally these are similar to index funds or ETFs and align their investment basket to the underlying investments of such indices. The intent is to match the performance of the index and not to beat it. As these are usually open-ended schemes, one can invest in them like any other open-ended fund, and there is no lock-in with such funds.

The uniqueness of TMFs is the near predictability of the returns from these funds, especially when investors hold them till maturity. When held till maturity, investors can expect returns closer to the indicative yields at the time of investing. The YTM (Yield-to-Maturity) of the fund gives an indication of the expected returns, if the portfolio is held till maturity. Moreover, these funds typically have their maturity date written in the scheme name, which means the number indicated tells the year in which the fund will mature.